

All legal experts hold that the regulation is applicable to both the seller and the buyer [of the contract]. In practice, however, the judges have often decided differently, always freeing the buyer from the liability while often holding the seller [to the contract]. If the assumption is true that the regulation applies to both seller and purchaser, I can rely on it if, as a trader, I have received call premiums and am forced to deliver the stocks on the day of settlement, or if, as a receiver of a put premium, I have to take shares on the day of settlement. If, on the contrary, the opinion is correct that it applies only to the seller, the regulation will be of no use to me [as a person wanting to seek shelter] when I receive call premiums, for in this case I am in fact a seller; but it will help me if I have received a put premium, as I am then the buyer of stocks. With regard to the put premium, however; there are also great differences of opinion, for, while the scholars assume that no [legally valid] claims can be made because of the regulation, there are contrary decisions by the courts, so that law and legal opinion, the regulation and the reasons for the decisions are contradictory. The theory remains uncertain, and one cannot tell which way the adjudication tends.

However, if the payer of a put premium possesses the stocks on the day of the negotiation of the contract so that he could offer to make delivery to me and to have them transferred to my account [within] two weeks after the offer, it is unlikely that in such a situation, embarrassing though it might be to me, the regulation can be appealed to. According to the opinion of some people, it is sufficient if the payer of the premium possesses the shares on the day when he declares [himself ready to make] the delivery and not already on the day when he entered into the premium contract, in order to make all objections on the grounds of the regulation ineffective.

Got that? There will be a quiz on this legal point on Friday!

Do not be of the opinion that such complexity with respect to derivative securities is an innovation, a “first” to be explained away as simply a natural result of modern market sophistication. Three hundred years ago, the Amsterdam, Holland stock exchange had a put and call market every bit as sophisticated as today’s. Did you guess? The above description is from a book, *Confusion de Confusiones* by Joseph de la Vega, that was published in 1688. “Joey D.” was a trader and lawyer in Amsterdam. When was the last time you traded options on the Amsterdam exchange? When was the last time *any* market traded options as widely and cavalierly as we do